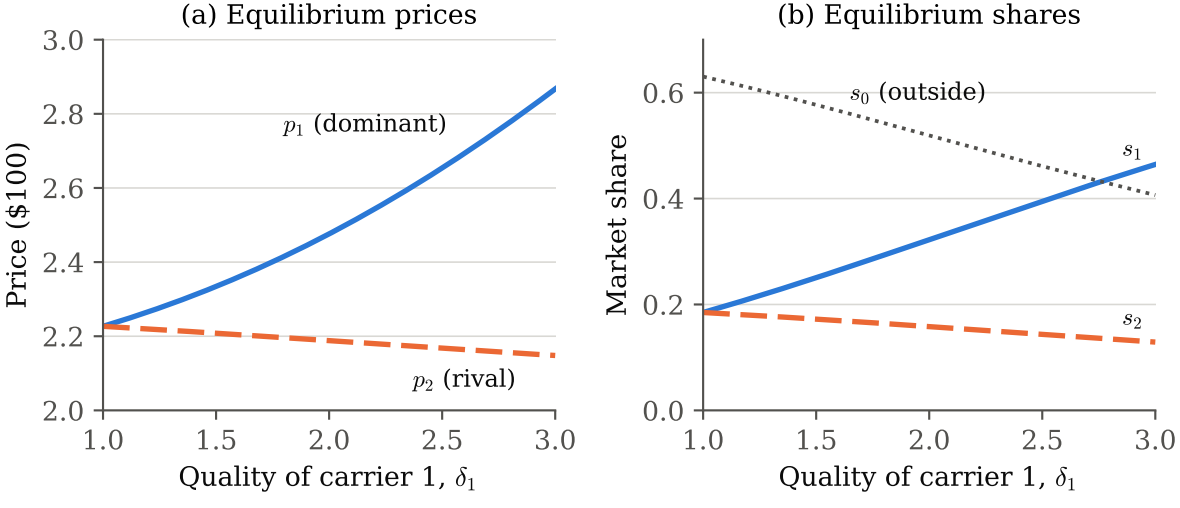
(a) Equilibrium prices
Price ($100)
3.0
2.8
2.6
2.4
2.2
2.0
p_1 (dominant)
p_2 (rival)
1.0
1.5
2.0
2.5
3.0
Quality of carrier 1, δ_1
(b) Equilibrium shares
Market share
0.6
0.4
0.2
0.0
s_0 (outside)
s_1
s_2
1.0
1.5
2.0
2.5
3.0
Quality of carrier 1, δ_1